

Creating and Delivering Operational Plans

Lesson 3



Study Information and Tips



This Study Text replicates the video content for the lesson



Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section



Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment



You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments



We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention



If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink

Creating Plans

**Operational plan
templates and
common headings**

**Operational
objectives
and creating
performance targets**

**Identifying and
managing the
resources needed to
support the plan**

Planning Templates

Once the manager has analysed the context and relationships necessary to build the operational plan, they can move on to actually create the plan document.

It's here that the manager will set out all the important aspects of the plan: which activities need to be carried out, and the resources required to do so. This will form the basis of the plan's implementation.

The information can be set out in a template format, to provide an ‘at a glance’ picture of the plan. In this unit we’ll follow the CMI’s 5-column operational planning template.

Objective

The first column in this template will contain the Objective. The foremost job of any planner will be to set out their objectives for what the plan will accomplish. These need to be organised in their order of importance.

For example, for a logistics department the highest priority objective may be to reduce late deliveries. Less important objectives may include: to streamline paperwork and to upgrade the fleet of lorries.

As far as possible, the objectives should quantify the results to be attained, and to specify when and how they should be attained. This usually means performing to a certain level, and by a given date.

So for the logistics department, the key operational objective might be 'to reduce the late deliveries by 15% in the next quarter.'



Objective	Task	Resource
▼ Logistics department		
▶ Reduce late deliveries by 15% in the next quarter		
▶ Streamline paperwork		
▶ Upgrade the fleet of lorries		

Tasks

The second column will contain the Tasks: these are the activities that must happen in order to achieve each identified objective.

For the logistics department the tasks will include: analyse the length and frequency of stops on long haul journeys, conduct a driver engagement survey and revisit driver incentives.

Objective	Task	Resource
▼ Logistics department		
▼ Reduce late deliveries by 15% in the next quarter	Analyse the length and frequency of stops on long haul journeys	
	Conduct a driver engagement survey	
	Revisit driver incentives	
► Streamline paperwork		
► Upgrade the fleet of lorries		

Resources

The third column will set out the Resources required to execute the planned activities. To be carried out successfully, every plan will need at least some resources. These will likely include people, money, time and materials.

For example, analysing break times and conducting a survey won't require an outlay in equipment, but it will need significant staff hours, along with help from people outside the logistics department, such as HR.

Objective	Task	Resources	Responsibility	Timescale
▼ Logistics department				
▼ Reduce late deliveries by 15% in the next quarter	Analyse the length and frequency of stops on long haul journeys	Staff hours Human Resources		
	Conduct a driver engagement survey	Staff hours Human Resources		
	Revisit driver incentives	Staff hours Human Resources		
► Streamline paperwork				
► Upgrade the fleet of lorries				

Responsibility

The fourth column will contain the Responsibility for each task. Every action must have an 'owner' – in other words, an individual or group must be assigned responsibility for its implementation. Otherwise, it's highly likely that the task won't get done.

Certain responsibilities will have 'natural' owners, such as specialists in the area in question. In our example, the tasks that require analysis may be undertaken by a team member who is adept at data handling.

Objective	Task	Resources	Responsibility	Timescale
▼ Logistics department				
	▼ Reduce late deliveries by 15% in the next quarter	Analyse the length and frequency of stops on long haul journeys	Staff hours Human Resources	J. Collier (Data Handler)
		Conduct a driver engagement survey	Staff hours Human Resources	Z. Fox (Data Handler)
		Revisit driver incentives	Staff hours Human Resources	D. Electra
	► Streamline paperwork			
	► Upgrade the fleet of lorries			

Timescale

Finally, in the fifth column, we find the Timescale for the plan. Operational plans typically cover a period of three to twelve months. Within this period, the implementation of each task will have its own timeline; this could be as short as a day, or as long as several months.

The data analysis in our example might take no more than a day or two, but the engagement survey could continue for weeks as all the drivers on the road return their responses.

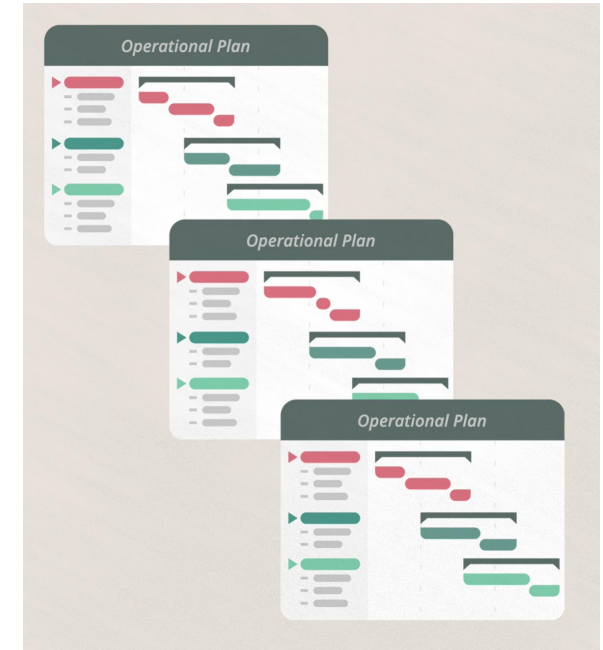
Objective	Task	Resources	Responsibility	Timescale
▼ Logistics department				
▼ Reduce late deliveries by 15% in the next quarter	Analyse the length and frequency of stops on long haul journeys	Staff hours Human Resources	J. Collier (Data Handler)	Days 09 April
	Conduct a driver engagement survey	Staff hours Human Resources	Z. Fox (Data Handler)	Weeks 28 April
	Revisit driver incentives	Staff hours Human Resources	D. Electra	Weeks 18 May
► Streamline paperwork				
► Upgrade the fleet of lorries				

An Iterative Process

While the template structure may appear rigid, the operational plans themselves are dynamic, and will often require adjustment. These are working documents, and may change in response to feedback or other information gained during their implementation.

This is because – at its best – operational planning is an ‘iterative’ process. Iteration is defined simply as a repeated cycle of actions. However, when each cycle introduces a new element, it enables incremental improvements to the plan.

So for example, it may take the logistics department several attempts before the ideal frequency and duration of breaks on the road is found. But through repeated trial and error, the plan can be refined so that it maximises its resources, and delivers better outcomes.



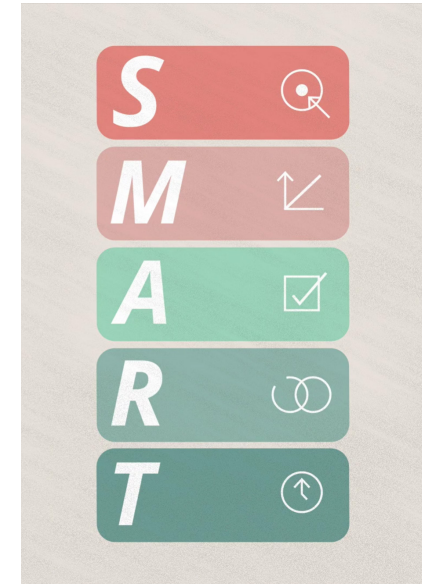
SMART Objectives

We've already learnt that the foremost job of any operational planner will be to set out the objectives for what the plan must accomplish. These will then be included in a document much like the example we saw previously.

The CMI states that these objectives should be 'detailed, focused and well defined.'

Setting objectives that meet these criteria can be made easier with the use of a framework like SMART.

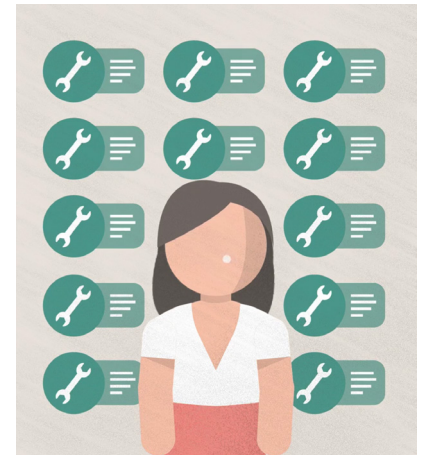
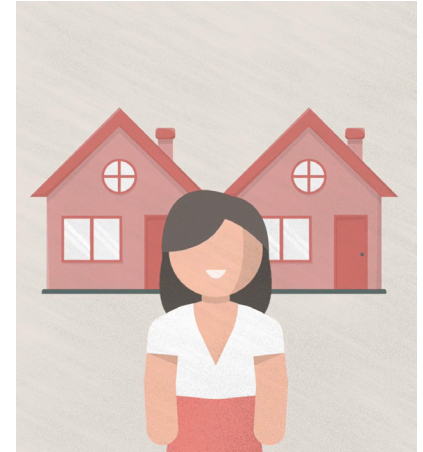
This is an acronym that stands for Specific, Measurable, Achievable, Relevant and Time-bound – although you might see some variations on these words. These five elements make up the criteria by which we can judge the quality of the objectives.



Specific

A Specific objective precisely summarises what is to be achieved. This can help keep the plan focused and on track towards its goal.

For example, the manager of the housing department at the local council has a specific objective: to clear the team's large backlog of repair notices. This is a key element of her operational plan for the next quarter.



Measurable

The next criterion is Measurable. A measurable objective defines what has to be accomplished in either quantitative or qualitative terms, so it's easier to know when it's been achieved.

For the housing manager, Toni, this means figuring out how many notices must be processed to clear the backlog.

She determines that all notices submitted to her department more than two weeks ago must be processed in this quarter.

So her objective now becomes: 'to process all repair notices more than two weeks old within this quarter.'



Achievable

The next criterion is Achievable. An objective should not be so easy that it's hardly worth setting, or so difficult as to be impossible to reach. In other words, it should be challenging but achievable.

This idea is rooted in the Goal-setting theory of Edwin Locke and Gary Latham. They argued that setting the ideal level of goal difficulty is a key element in achieving good outcomes. This is because objectives which are too difficult cause people to give up on them quickly. Conversely, ones that are too easy don't motivate people enough to pursue them. The greatest motivational driver is for objectives to be challenging but not impossible. This also means they must work within the limitations of the department.

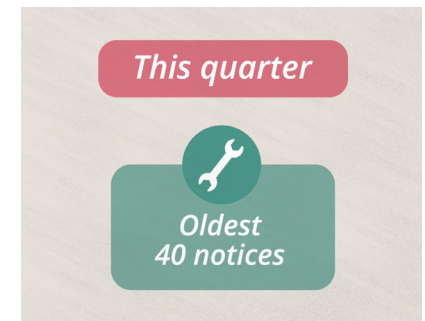
Achievable – Example

So the repair notice objective must be achievable within the resources available to Toni's department, and must avoid demotivating the team.

However, the outstanding repair notices go back three months.

Upon reflection, Toni decides that her target to process all outstanding notices is too high. She decides to lower it to the oldest 40 notices – these represent the households that have spent the longest time waiting for repairs.

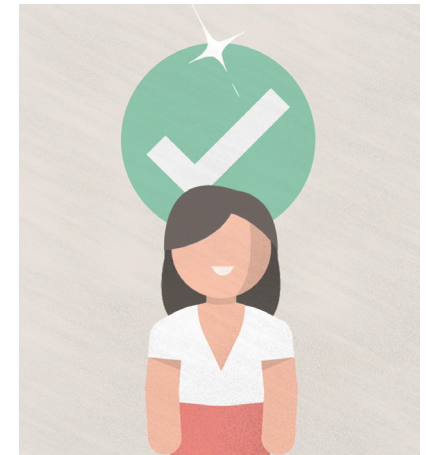
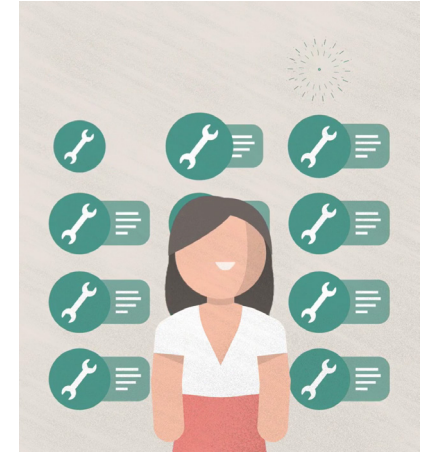
So her objective is now: 'to process the oldest 40 repair notices within the next quarter.'



Relevant

An objective must also be Relevant. This means that it aligns with the organisation's strategic plan, and the department's other objectives.

For Toni, clearing the backlog is a key aspect of her operational plan because it will free up her staff to work on other projects. It's relevant because it fits within the aims of the department, and of the wider council.



Time-bound

The final criterion is Time-bound.

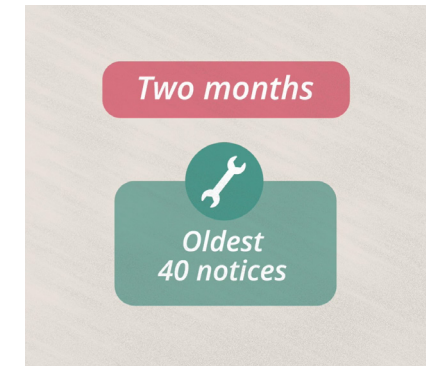
This means that each objective will need to be given a deadline within the overall plan. This is essential, because working without a timescale can also be demotivating. If no objectives had deadlines, how could the team prioritise them?

The time frame needs to reflect the scope of the plan, and all stakeholders involved must agree when it is to be achieved.

Time-bound – Example

With input from her team, Toni sets a deadline of two months to reach her objective of clearing 40 notices. This reflects the scope and volume of work, but it won't extend over the entire quarter covered by the plan, giving her some flexibility.

Toni's final objective is SMART: 'to process the oldest 40 repair notices in the next two months.'



Presenteeism

However, author Derek Torrington and colleagues suggest that there can be difficulties with results-focused objectives, as there may be inappropriate ways of achieving them.

For example, absence could be reduced by encouraging 'presenteeism' – that is, showing up for work when ill.

This is a counterproductive tactic, because it leads to more people becoming sick. So while the figures on absence might improve, the method used to achieve them will create other problems.

Behaviour-based Objectives

For this reason, managers should also set 'behaviour-based objectives,' which express how the results are to be achieved.

A behaviour-based objective for the housing department team might be: 'to process all the repair notices collaboratively, with regular updates to teammates.'

KPIs

Management thinker Peter Drucker famously said, ‘what gets measured gets done.’ We’ve seen that this applies to operational objectives – they need to be ‘measurable’ in order to be effective.

However, objectives are not the only aspects of the plan to be measured. Operational plans may be under way for several months, and during that time managers must be able to track their progress.

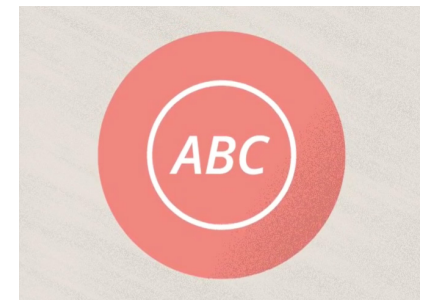
To make this easier, they can create key performance indicators or KPIs.

KPIs (cont.)

Key performance indicators are measures of progress – their job is to ‘indicate’ how well the planned activities reflect the ultimate objective. Therefore while KPIs are usually set in the early phases of operational planning, managers will return to them once the plan has been implemented.

KPIs can be based on quantitative data, such as revenue, profit, costs or output. For example, a quantitative KPI might be the number of new customer contracts signed over a given period.

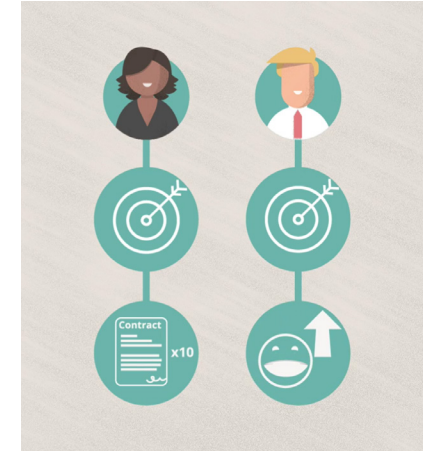
KPIs can also measure more subjective, ‘qualitative’ criteria, which are not expressed in numbers. A qualitative KPI might be the level of customer satisfaction as reported in a survey.



KPIs (cont.)

Each indicator may have a corresponding target: what the outcome is aiming to reach by a certain date, or over a period of time.

So the target for the number of new customer contracts might be 10 per month. And the target for service quality may be to reach a certain customer satisfaction score by the next quarter. These may indicate how well the plan is proceeding towards a larger objective, such as 'growing revenue by 20% over the next 12 months.'



KPIs (cont.)

The range of criteria which may be measured is very broad, but operations expert Nigel Slack identifies five which can be applied across all operational settings. These are:

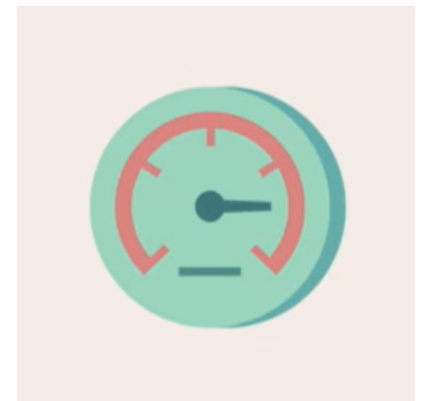
- Quality
- Speed
- Dependability
- Flexibility
- Cost

Quality and Speed

These categories will form the basis for the KPIs.

First is Quality: This is the extent to which the standard of performance aligns with company and customer expectations. KPIs for quality might relate to the service given to customers, such as number of referrals or complaints.

The second performance criterion is Speed. This reflects how quickly and responsively products and services are delivered in line with the plan objective. KPIs for speed could include order lead times, frequency of deliveries, or amount of time taken to deal with customer queries.



Dependability and Flexibility

The third criterion is Dependability. This means consistently delivering products or services on time, and to the agreed standard. A KPI for dependability could be the percentage of deliveries that arrive within an agreed timeframe.

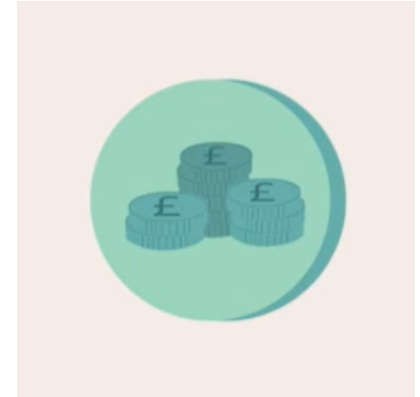
The fourth criterion is Flexibility. This measures the ability to adapt to changes in business circumstances. A KPI for flexibility could point to the level of output employees produce under a new work process – for example, when switching to remote working.



Cost

Finally, there is Cost. This category takes in the cost of staffing, facilities, and resources like supplies and equipment. A KPI for cost might be the variance between the money spent on these resources, and the amount in the allocated budget.

Ideally the operational plan should optimise all five performance criteria. It should seek to deliver the best quality, in the fastest time, more reliably, flexibly and at lower cost than its competitors. In reality, there are always trade-offs between these elements, as we will see later in this unit.



Benchmarking

Whilst KPIs are unique to each department, sometimes an operational manager will seek guidance on performance outside their immediate context. This is known as 'benchmarking,' or comparing one's own performance and methods to those elsewhere. Once a benchmark has been identified, the goal is to meet or exceed it through improvements in operations.

Benchmarking can be internal or external.

Internal benchmarking compares operations within the same company. External benchmarking compares against the best in the industry, or against the best in any industry.

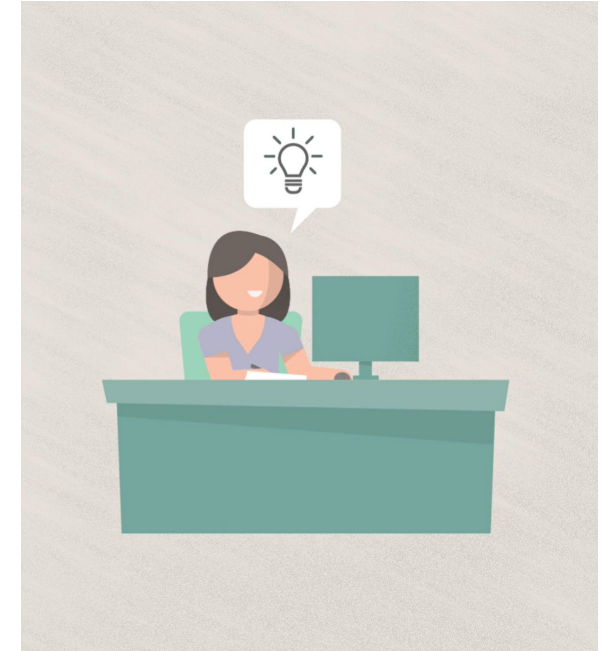


Benchmarking (cont.)

The rationale for benchmarking is that challenges in managing operations are almost always shared by others, and that there is probably another department or company that has developed a better approach.

For example, the manager of a bank branch might discover how supermarkets cope with daily fluctuations in demand, and apply this method to their own field.

However, it's also important to consider context, as successful practices in one operation might not always work in another.



Tangible and Intangible Resources

Defining objectives and performance targets is an important aspect of planning, but the manager must also ensure that the department has the resources to deliver accordingly.

Resources can be grouped into two distinct categories: 'tangible' and 'intangible.'

Tangible resources have a physical form and a quantifiable value. They include money, people, materials and equipment.

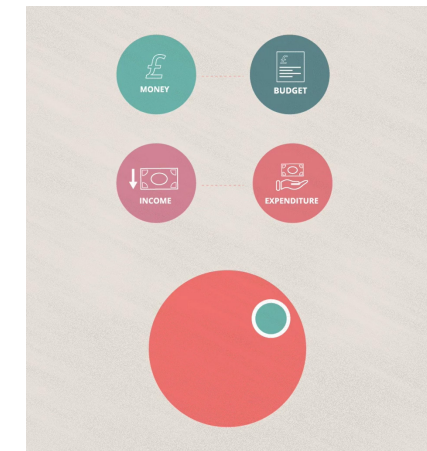
Intangible resources are not physical in nature, and their value is harder to quantify. These might include positive relations with suppliers, customer loyalty or brand recognition. Although not immediately visible, these resources are as important to a company as the tangible ones.

Tangible Resources

Let's look at the tangible resources a little more closely.

Most operational plans will need money – to pay staff, buy new equipment, or to cover administrative costs such as postage and packaging. This is the resource that underpins all the other resources.

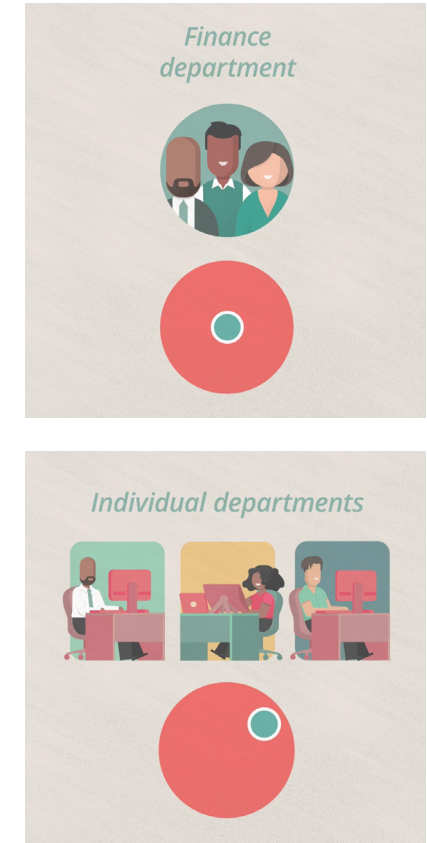
Money will be allocated in the form of a budget. This is an estimate of income and expenditure over a given time period. It may be centralised, or decentralised.



Tangible Resources (cont.)

As the name suggests, centralised budgets allocate funds from a central point, such as the finance department. While they're effective at controlling costs, individual managers have limited say over them.

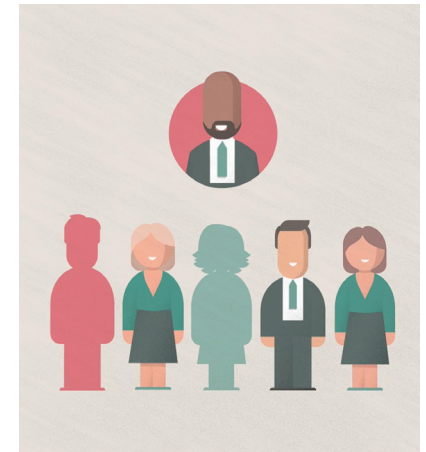
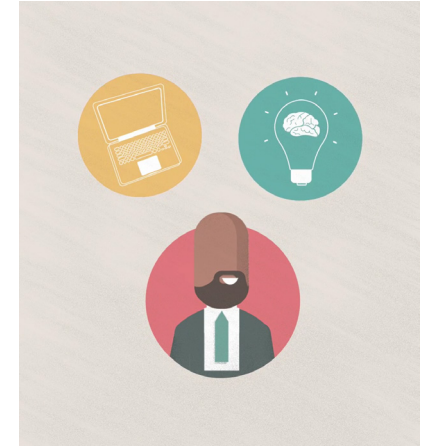
Decentralised, or 'devolved' budgets are located in individual departments. The heads of these departments make decisions on how to allocate these funds. In operational terms, this means that adjustments to the budget – and the plan – are possible after the plan has been implemented.



Tangible Resources (cont.)

However, the budget for any individual plan is likely to be contingent on how well the organisation is performing. This means managers will need to make potentially difficult decisions on which parts of the plan should be prioritised. For example, they may face a trade-off between investing in more equipment, or building employee knowledge and skills.

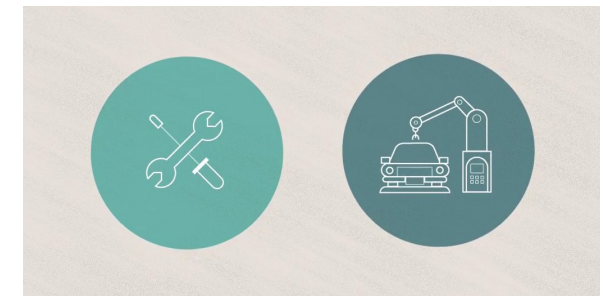
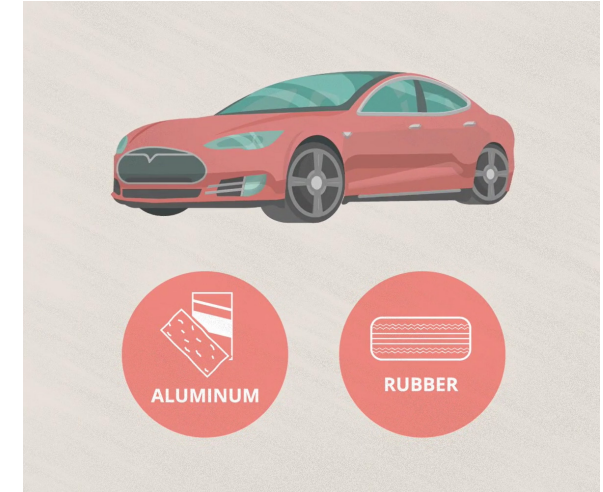
People are also a tangible resource, and a key element of the operational plan. The aim for a manager in this area is to achieve the planned objectives without gaps or overlaps in staffing. This will ensure that the department can remain productive without wasting resources.



Tangible Resources (cont.)

The final tangible resource consists of materials and equipment. Materials are the raw components that form a product or service. For example, the aluminum and rubber used to manufacture a car.

Equipment refers to the tools that help to create the product or service. In the case of the car, that would be wrenches or – more frequently these days – the machines that fit the components on the assembly line.



Tangible Resources (cont.)

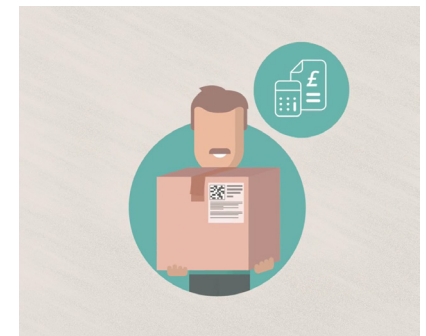
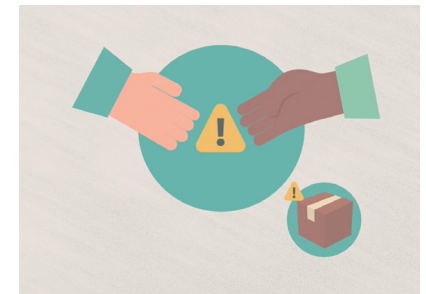
The amount and type of equipment needed to deliver an operational plan will vary. A plan to adopt remote working might only require the purchase of more laptops. On the other hand, upgrading a product design process could mean having to buy costly 3D printers and specialist software.

Whatever the context, the planned activities must use these resources efficiently. Purchasing more equipment or materials than required wastes money.

Intangible Resources

Intangible resources are equally important, although their value is difficult to gauge precisely – it might only become obvious when revenue declines or costs rise. For example, a breakdown in relations with a supplier could force the department to find a replacement, which would impact the budget.

Finally, there is time, which doesn't quite fit into either category. It's a rather unique resource in that once it's gone, it cannot be replaced. However, Peter Drucker argues that the constraints of deadlines may work to our advantage, by sharpening focus to get the job done.

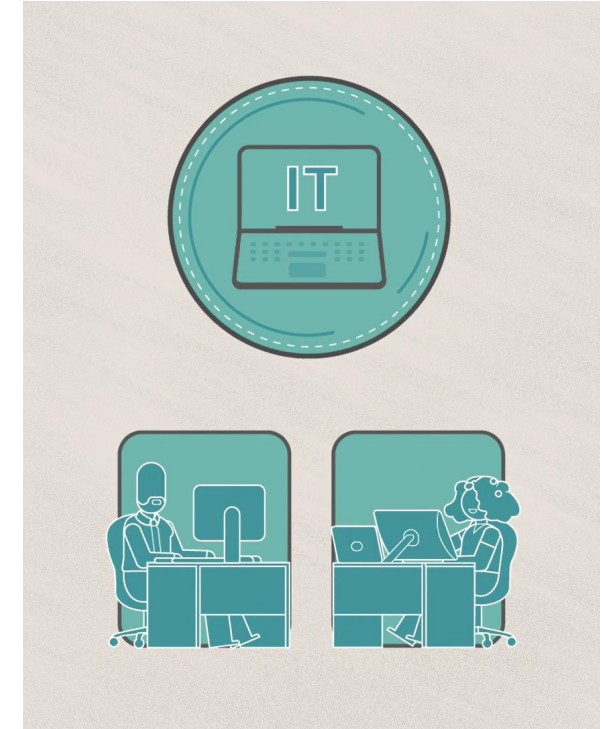


Intangible Resources (cont.)

Author Michel Leseure points out that there's a great degree of interdependence between all resource decisions. For example, an IT department that purchases high spec hardware, will likely also need to hire highly skilled technicians to operate it.

However, it's important to note that once a resource decision is made, it may be difficult to reverse. And the larger the commitment, the less reversible it is. If part of the plan is to recruit new team members, for example, then deciding they're no longer required will be complex and disruptive.

The key consideration in resource planning is efficiency – how to make the most of resources while minimising waste.



Continuous Improvement

The ultimate goal of operational planning is to make the department function better. This usually involves small, incremental steps rather than sudden, radical shifts, because minor improvements are easier to implement.

The method of 'continuous improvement' is one way to integrate such changes into the operational plan. It's designed to bring gradual, ongoing improvement to products, services and processes.

The Deming Wheel

The idea was developed in Japan in the mid-20th century, where it was known as Kaizen, or 'change for the better.' It was introduced into the country by W. Edwards Deming, a US engineer who was part of a post war initiative to rebuild Japanese manufacturing.

In the 1950s, Deming developed a model of continuous improvement known as the Deming Wheel, or PDCA cycle. It remains one of the most popular management tools today.

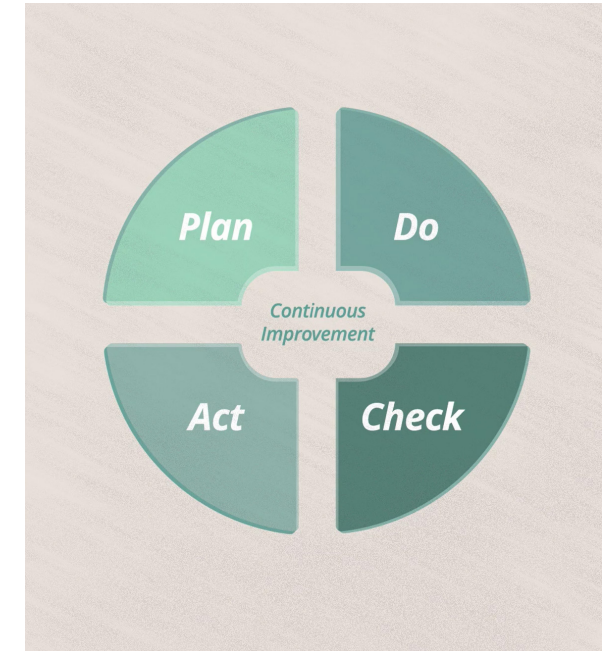


The Deming Wheel (cont.)

Deming believed that everyone in a company has a responsibility to make incremental improvements in their work. His model promotes this by enabling workers to learn and improve in a systematic way. In terms of operational planning, it can help by testing new departmental practices without making a significant investment.

Deming's process is made up of four phases, which correspond to four actions: Plan, Do, Check and Act. These four phases can be repeated over and over, as part of a cycle of continuous learning. This is why the model is usually shown as a circle, or 'wheel.'

Let's look at each phase more closely.

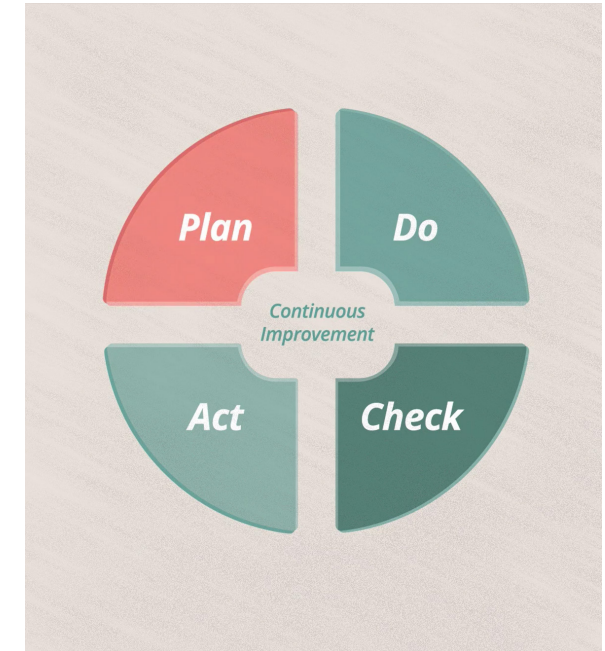


The Deming Wheel (cont.)

The cycle begins with Plan.

In this context, to 'plan' means to focus on an operational objective and build a distinct approach around it – for example, 'to speed up the production process.'

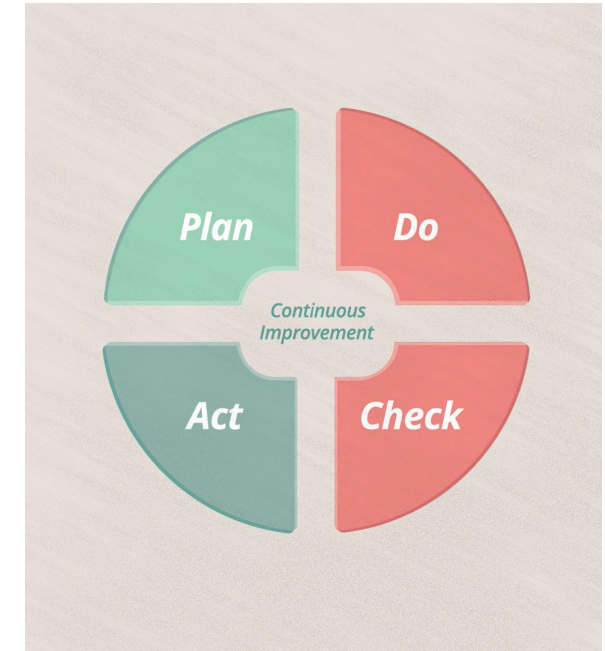
As in standard planning practice, the manager will need to define this objective in a realistic way, identify the activities and resources needed to achieve it, and determine how performance will be measured.



The Deming Wheel (cont.)

The next phase is Do. In this stage, the manager will pilot the approach on a small scale and then review it. The aim is to see whether the changes will work with minimum disruption to daily routine.

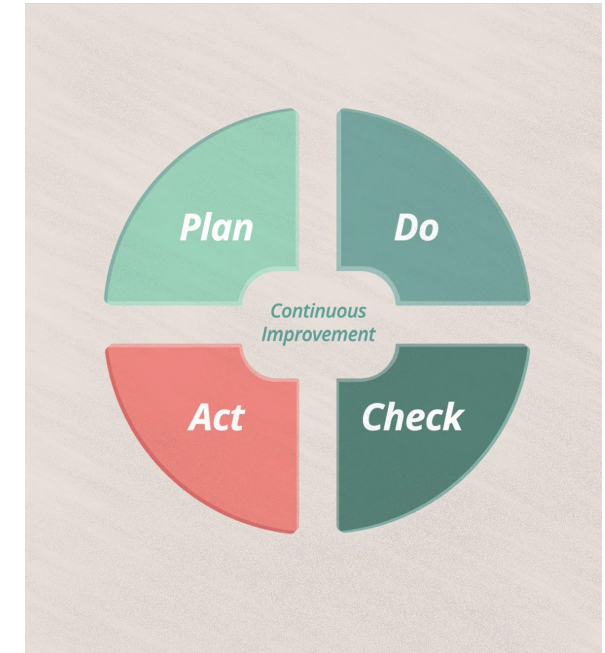
Next is the Check phase. Here the manager will evaluate the results of the pilot against the objective, looking critically at what went well and where improvements are needed. The approach can then be adjusted for better results next time. The key here is not to see any problems identified as setbacks, but as opportunities to learn and improve.



The Deming Wheel (cont.)

The final phase is Act. This is the point where the manager implements the adjusted plan. If the amended approach is successful, it will become the new standard. Other discoveries may also be made along the way, which can be integrated into the next operational plan.

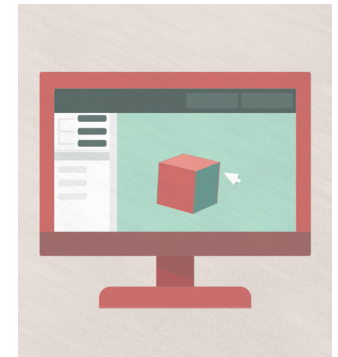
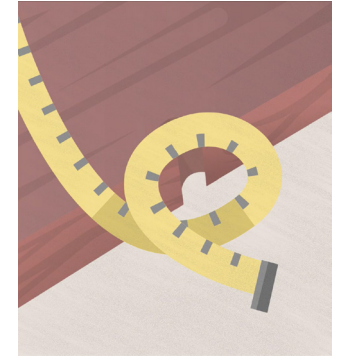
Let's look at an example of how this might work in practice.



The Deming Wheel – Example

Doug is the production manager at a bespoke furniture maker. One of his operational objectives is to expand output of sofa production by 15% in response to customer demand. However, the production has frequent bottlenecks due to errors in measurements. This not only holds up the assembly of the sofas, it also creates waste.

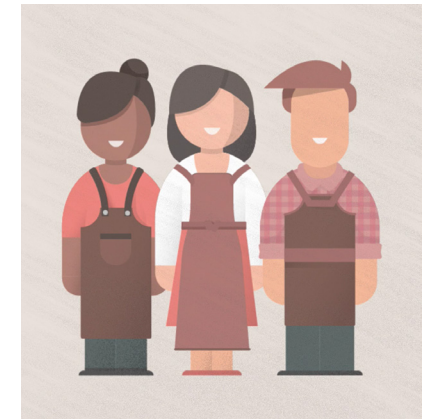
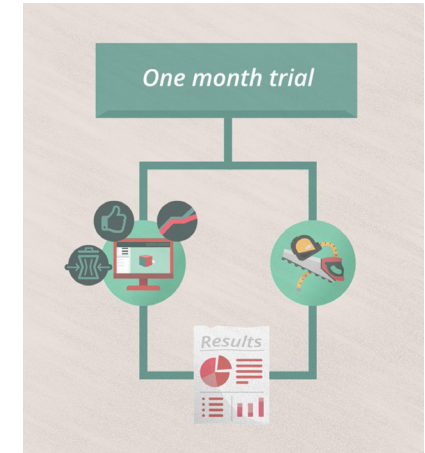
Doug can see that to achieve his output goal, he'll need to improve the design process to eliminate the errors. His plan is to introduce the latest digital design software; however, as this is expensive, he wants to test the new system using the PDCA cycle first.



The Deming Wheel – Example (cont.)

Doug purchases a one month trial of the software, and tests it with a few of his workers while the others continue to operate under the existing system. This gives him the benefit of seeing whether the investment will be worthwhille.

When the trial is over, Doug checks the results – the digitised process was reliable and reduced waste. However, production output only slightly increased. This is disappointing, so Doug investigates further. His analysis shows that the outcome was not due to the performance of the software but to his team members, who were learning a new way of working.



The Deming Wheel – Example (cont.)

By trying his approach out on a small scale, Doug now has the confidence to implement it factory-wide. However, he also knows that his workers will need training on the new system. Once they reach full efficiency, he can adopt this process as the new standard.

The cyclical nature of PDCA supports gradual improvement, with the manager in control throughout the process. However, it's not a quick fix; changes must be planned over a longer period – and may involve more adaptation, like additional training – to deliver maximum benefits.

Recap

In this lesson, you have learned about:

- Operational plan templates and common headings
- Operational objectives and creating performance targets
- Identifying and managing the resources needed to support the plan